October 13, 2026 07:00 AM GMT

Zhejiang Shuanghuan Driveline Co. Ltd. | Asia Pacific

Risk Reward Update

WHAT'S CHANGED

Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	From	To
Price Target	Rmb50.00	**Rmb46.00**
Bull Case	Rmb66.00	**Rmb61.00**
Base Case	Rmb50.00	**Rmb46.00**
Bear Case	Rmb34.00	**Rmb29.00**

Updated Components

EPS
Investment Thesis
Risk Reward Themes
Bull Base Bear Scenarios
Investment Drivers

Risk Reward for Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ) has been updated

Reason for change

We lower our 2026 and 2027 revenue forecasts 2% and 4%, respectively, mainly reflecting slower growth in intelligent actuators. The company is shifting its focus to smart auto solutions from vacuum cleaners; we see the transition weigh on the top line in the near term. We now expect revenue to grow 10% in 2026, 5% in 2027, and 8% in 2028.

We reduce our GPM assumptions 0.4ppt for 2026 and 0.3ppt for 2027, considering the ramp-up in the Hungarian plant. As a result, our NP forecasts are reduced 9% for 2026 and 7% for 2027. We now forecast NP to grow 3% in 2026, 23% in 2027, and 17% in 2028.

Our valuation assumptions are unchanged. We apply a 25x 2026e P/E to the core business, in line with the five-year average FY1 P/E. We estimate that its humanoid robot business will generate revenue of ~Rmb1.1bn when global humanoid sales reached 1mn units and apply a 6x P/S multiple, reflecting a longer timeline for new reducers but a high growth potential.

We lower our price target to Rmb46 (from Rmb50).

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Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ, 002472 CH)

China Industrials | China

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	**Rmb46.00**
Shr price, close (Oct 12, 2026)	Rmb36.00
52-Week Range	Rmb49.76-34.13

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.50	1.53	1.88	2.20
Prior EPS (Rmb)**	1.47	1.69	2.02	-

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Risk Reward – Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)

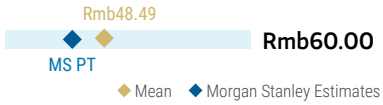
Strong NEV and intelligent actuator growth with improving margin

PRICE TARGET Rmb46.00

Base case, sum of the parts.

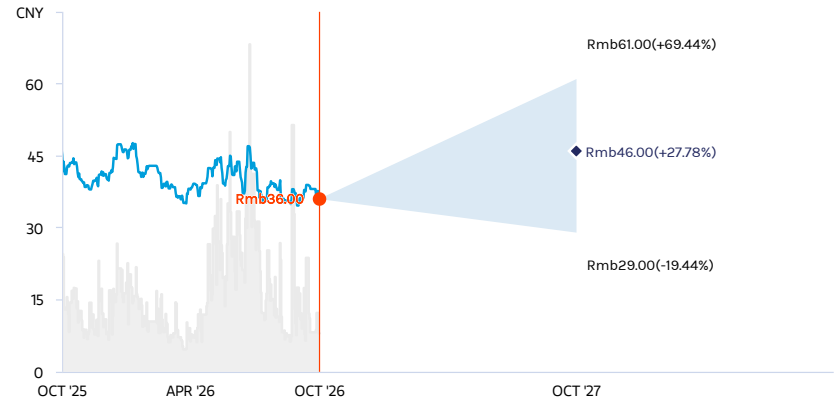
- **Core business:** 25x 2026e P/E. We find this, the five-year average one-year forward P/E, appropriate considering the sustained growth across business lines.
- **Humanoid business:** 6x P/S on Rmb1.1bn sales when global humanoid sales reached 1mn units, when we expect global humanoid sales to exceed 1mn units. We view this as justified by a longer application timeline for new reducers but higher growth potential.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



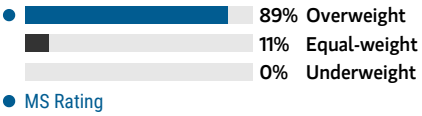
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Shuanghuan is China's largest independent gear maker, amid a broad downstream market, and we expect its growth momentum and share gain to expand in the very fragmented market.
- We expect NEV gears to be the key growth driver, supplemented by new energy commercial vehicles gear and robotics reducers' localization trend.
- The company aims to seize opportunities overseas, with a new plant in Hungary ramping up, as well as supplying reducers for humanoids.
- We think the valuation is attractive with optionality to capture the long-term growth of humanoid components

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb61.00

30x 2026e bull case P/E; 8x P/S for humanoids

We assume:

1) Significant NEV gear outperformance, thanks to faster growth in overseas, rising penetration of coaxial gearboxes, and OEM's shift in outsourcing gear manufacturing;

2) Faster-than-expected precision reducer localization, amid robust humanoid robot growth in China, ramp-up in harmonic reducer business expansion; and

3) Better-than-expected GPM improvement, with more high-end product sales.

BASE CASE Rmb46.00

25x 2026e base case P/E; 6x P/S for humanoids

We expect:

1) Revenue to grow 10% YoY in 2026e, driven by overseas expansion and rising penetration of coaxial gearbox;

2) For intelligent actuators, Shuanghuan is shifting focus toward smart-auto solutions from vacuum cleaners;

3) Net profit to grow 3% in 2026e, considering the ramp-up in the Hungarian plant (near-term margin dilutive).

BEAR CASE Rmb29.00

18x 2026e bear case P/E; 3x P/S for humanoids

We assume:

1) Significant in automotive gears, constrained by weaker NEV sales;

2) Slower-than-expected intelligent actuators growth, constrained by sluggish downstream demand; and

3) GPM decline from NEV gear price cuts and decreasing volume per car.

Risk Reward – Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)

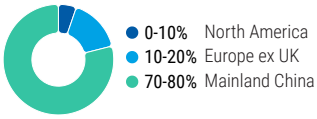
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
NEV gears revenue growth (%)	21.7	12.8	22.7	7.3
RV reducer revenue growth (%)	28.3	18.7	15.7	12.6
Gross profit margin (%)	27.3	26.9	27.2	27.6

INVESTMENT DRIVERS

- Share gain in NEV gear market, in China and globally
- Intelligent actuators growth with diversified downstream applications
- Leading reducer supplier for industrial robots and potentially humanoids

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increasing penetration of dual/tri-motor and coaxial gearboxes
- Faster capacity expansion overseas, capturing more overseas OEMs' demand
- Faster-than-expected intelligent actuator growth driven by diversifying downstream
- Faster-than-expected progress of humanoid reducers

RISKS TO DOWNSIDE

- Slower-than-expected share gains
- Weaker-than-expected overseas market demand
- Intensifying gear and actuator competition in China

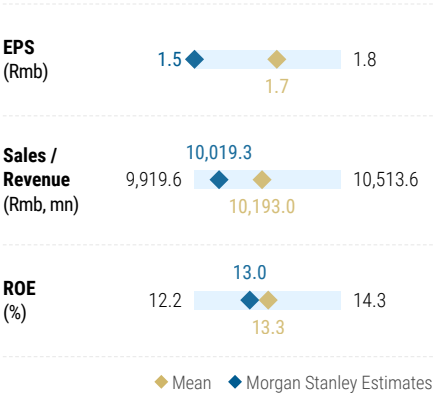
OWNERSHIP POSITIONING

Inst. Owners, % Active 99.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of September 30, 2026)

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Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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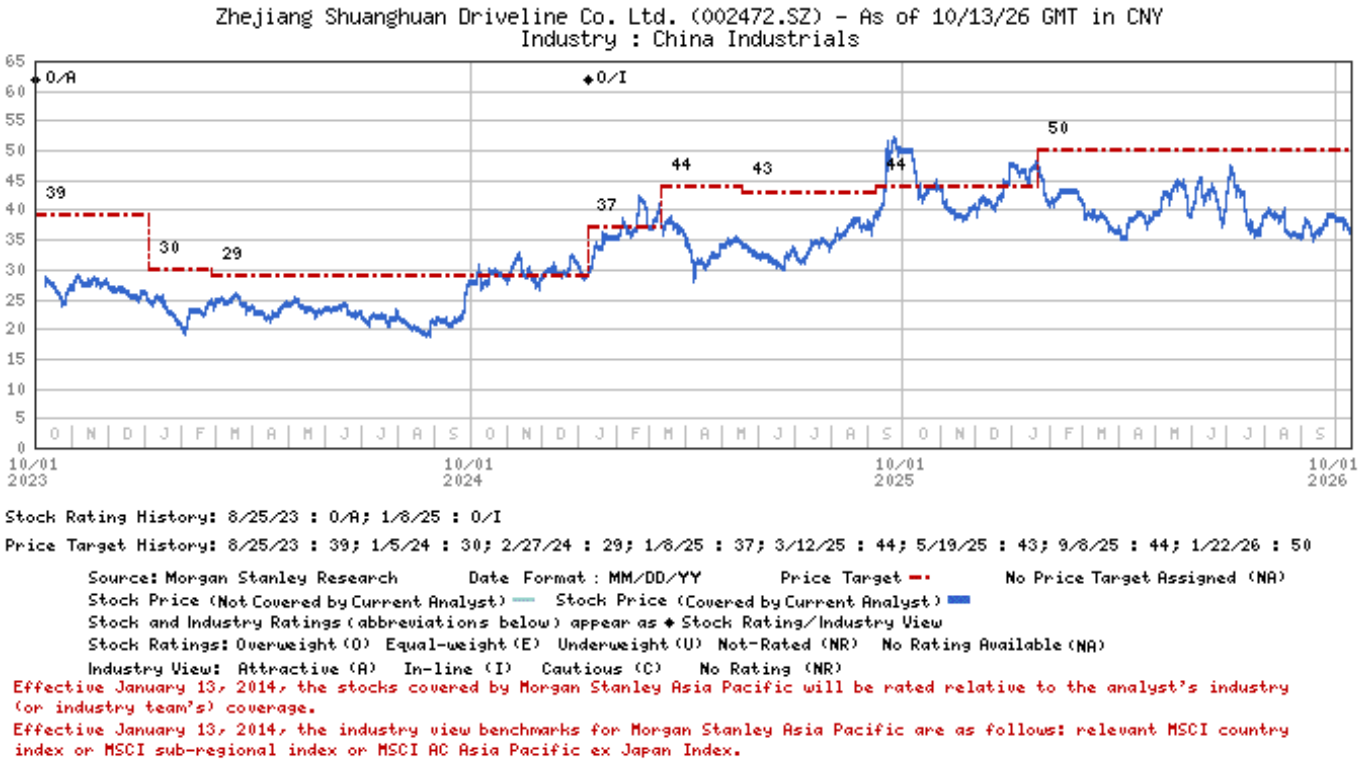
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Stock Price, Price Target and Rating History (See Rating Definitions)



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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/12/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.34
China Railway Group (0390.HK)	E (08/11/2025)	HK$3.23
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.44
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb70.18
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb15.19
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb78.79
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb41.85
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb92.70
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb48.85
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK$6.80
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK$5.37
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb6.39
DR Laser (300776.SZ)	E (12/17/2021)	Rmb98.21
Estun Automation Co Ltd (002747.SZ)	E (08/25/2026)	Rmb26.01
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK$17.57
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb31.75
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb83.98
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb34.09
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb252.02
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb17.52
Shenzhen Inovance Technology (300124.SZ)	++	Rmb50.45
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb52.42
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK$35.26
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb159.55
Times Electric (3898.HK)	E (01/22/2026)	HK$27.44

WeiChai Power (2338.HK)	O (03/30/2026)	HK$27.34
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb23.87
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb39.70
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb37.88
Yushu Technology Co., Ltd. (688836.SS)	E (09/30/2026)	Rmb421.29
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb51.10
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb20.30
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb36.00
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK$5.62
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb6.08

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